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PART I

Acts, Ordinances, President's Orders and Regulations

GOVERNMENT OF PAKISTAN

MINISTRY OF LAW AND JUSTICE

Islamabad, the 6th April, 2016

No. F. 2(1)/2016-Pub.—The following Ordinance promulgated by the President is hereby published for general information:—

ORDINANCE NO. III OF 2016

AN

ORDINANCE

to provide for the re-organization and conversion of the State Life Insurance Corporation into a public limited company

WHEREAS it is expedient to provide for the conversion of the State Life Insurance Corporation into a public limited company and incorporation under the Companies Ordinance, 1984 (XLVII of 1984), and for matters connected therewith or ancillary thereto;

AND WHEREAS, the Senate and the National Assembly are not in session and the President of the Islamic Republic of Pakistan is satisfied that circumstances exist which render it necessary to take immediate action;

(161)

Price : Rs. 5.00

[2706 (2016)/Ex. Gaz.]

NOW, THEREFORE, in exercise of the powers conferred by clause (1) of Article 89 of the Constitution of Islamic Republic of Pakistan, the President of the Islamic Republic of Pakistan is pleased to make and promulgate the following Ordinance:—

1. **Short title, extent and commencement.**—(1) This Ordinance may be called the State Life Insurance Corporation (Re-organization and Conversion) Ordinance, 2016.

(2) It extends to the whole of Pakistan.

(3) It shall come into force at once.

2. **Definitions.**—In this Ordinance, unless there is anything repugnant in the subject or context,—

- (a) “assets” includes all investments, properties, rights and entitlements of every description and nature whatsoever, whether present or future, actual or contingent, and tangible or intangible, in Pakistan or elsewhere and includes but not limited to property held on trust, both movable and immovable, benefits, claims, receivables, cash balances, documents, reserve funds, privileges and powers;
- (b) “Company” means the State Life Insurance Company Limited to be established and incorporated in accordance with section 3;
- (c) “contracts” means all contracts, agreements, bonds guarantees, indemnities, representations, obligations, undertakings and other legal documents and instruments of every description executed by or on behalf of the Corporation, as the case may be, including employment, investment, sales and financial contracts with whomsoever;
- (d) “effective date” means the date specified in the vesting order issued under section 5;
- (e) “Corporation” means the State Life Insurance Corporation established under section 11 of the Life Insurance (Nationalization) Order, 1972 (President’s Order No. 10 of 1972);
- (f) “liabilities” means all liabilities lawfully incurred by the Corporation, as the case may be, and includes duties and obligations of every kind imposed thereon;
- (g) “policies” means a contract of insurance;

- (h) "proceedings" includes any suit, arbitration or other legal, administrative or regulatory proceedings, applications, appeals, awards, reviews or revisions filed or pending;
- (i) "privatization" means privatization as defined under clause (i) of section 2 of the Privatization Commission Ordinance, 2000 (LII of 2000);
- (j) "rules" means the rules made under this Act;
- (k) "transfer" includes the transfer of assets, contracts, policies, arrangements, liabilities, proceedings and undertakings of the corporation, as the case may be, to the Company;
- (l) "undertakings" includes all projects ventures and any other operations undertaken by the corporation as the case may be, individually or collectively in collaboration with some other person; and
- (m) "vesting order" means an order made by the Federal Government under sub-section (1) of section 5.

3. **Establishment of the Company, etc.**—(1) As soon as may be after the commencement of this Ordinance, the Federal Government shall establish a Company to be known as the State Life Insurance Company Limited by shares and cause it to be incorporated under the Companies Ordinance, 1984 (XLVII of 1984), with the principal object of taking over the business, functions, contracts, policies, proceedings, undertakings, assets, liabilities, etc. of the Corporation.

(2) No stamp duty, or any other charges shall be payable by the Company under any law for the time being in force or in relation to the transfer or vesting of the assets, contracts, policies, liabilities proceedings or undertakings of the Corporation to the Company or any shares or securities or certificates or scripts issued in favor of the shareholders or financiers or the Corporation by the Company.

(3) No regulatory fee under any law for the time being in force for incorporation or registration shall be payable by the Company or its sponsors:

Provided that after the incorporation of the Company and the issuance of certificate of registration to carry on insurance business under the Insurance Ordinance, 2000 (XXXIX of 2000), the Company shall be liable to pay all regulatory fee.

4. **Company to be deemed an Insurer.**—(1) The Company shall be deemed to be an insurer for the purposes of the Insurance Ordinance, 2000 (XXXIX of 2000), and any other law for the time being in force relating to insurance companies

until such time that a certificate of registration is granted to the Company under sub-section (2).

(2) Without prejudice to the provisions of sub-section (1), the Company shall within six months of its incorporation, apply to the Securities and Exchange Commission of Pakistan for a certificate of registration to carry on the business of insurance in Pakistan in accordance with the provisions of the Insurance Ordinance, 2000 (XXXIX of 2000), and the Securities and Exchange Commission of Pakistan Act, 1997 (XLII of 1997), shall issue such a certificate of registration to the Company to carry on insurance business in Pakistan.

5. Transfer and vesting of assets, contracts, liabilities, proceedings and undertakings.—(1) After the incorporation of the Company under the Companies Ordinance, 1984 (XLVII of 1984), the Federal Government shall by a vesting order, published in the official Gazette, direct that all the assets, liabilities, contracts, policies, proceedings and undertakings of the Corporation stand transferred to and vest in the Company on the date specified therein, on such terms and conditions as may be determined by the Federal Government in this behalf.

(2) The vesting order issued under sub-section (1) shall, *inter-alia*, provide for,—

- (a) the transfer of all the assets, contracts, liabilities proceedings and undertakings of the Corporation to the Company;
- (b) the allotment of shares or debentures of the Company to the shareholders, debenture-holders or bond-holders of the Corporation in proportion to their shares, debentures, bonds or other securities in the Corporation, as the case may be, after determining the net asset value of the Corporation on the effective date;
- (c) the dissolution of the Corporation from the effective date;
- (d) the transfer of policies and the guarantees issued to the policy holders of the Corporation under article 35 of the Life Insurance (Nationalization) Order, 1972 (President's Order No 10. of 1972) to the Company;
- (e) the responsibility of pension benefits of the retired employees and officers of the Corporation and the employees and officers whose employment is transferred to the Company under section 6 and such benefits shall not be varied without the consent of the employees concerned; and
- (f) such incidental, consequential and supplemental matters as are necessary to secure the transfer of assets, contracts, policies, liabilities, proceedings and undertakings under this Ordinance.

(3) The value ascribed to the assets and liabilities transferred to and vested in the Company by the Federal Government under the vesting order shall represent the fair net value of the assets for taxation, depreciation or any other purposes.

(4) Notwithstanding the provisions of section 146 of the Companies Ordinance, 1984 (XLVII of 1984), the Company shall upon transfer through the vesting order, continue all business and undertakings of the Corporation as were being carried on immediately prior to the effective date.

6. Continuation of service in the Company.—(1) All employees and officers of the Corporation who were continuously in the service of the Corporation for a period of one year or more immediately before the effective date shall, upon being considered for service by the Company, stand transferred to and become the employees and officers, as the case may be, of the Company as on the effective date on the same terms and conditions of service, rights and privileges including but not limited to the provisions applicable to their pension, post-retirement medical benefits, provident fund, gratuity, as the case may be, before the conversion.

(2) The terms and conditions, rights and privileges including but not limited to the provisions applicable to the pension, post-retirement medical benefits, provident fund and gratuity, as the case may be and other matters as were applicable to the retired employees and officers of the Corporation shall continue to apply to such retired employees or officers after conversion.

(3) Notwithstanding anything contained in any law, contract, agreement or conditions of service, no person transferred to the Company pursuant to sub-section (1) shall be entitled to any compensation as a consequence of transfer to the Company.

(4) The employees of the Corporation not considered by the Corporation under sub-section (1) for employment in the Company, shall have the option to be discharged from employment on payment of admissible relieving benefits as provided in the vesting order.

(5) Under the order vesting the property and liabilities of the corporation in the Company, the Federal Government shall require the Company to assume the full responsibility of terms and conditions of service, rights and privileges including but not limited to the provisions applicable to pension, provident fund and gratuity benefits of relevant employees and officers and the Company shall not adversely vary any such benefits without the consent of the employees or officers concerned.

7. Continuation of terms and conditions of marketing agents.—The terms and conditions, including but not limited to the provisions applicable to the rights and privileges, as the case may be, and other matters as were applicable to the marketing agents shall continue to apply to such marketing agents after

conversion, as the case may be, and the company shall assume the full responsibility thereof.

8. Contracts and proceedings.—(1) Subject to the provision of section 9, all contracts subsisting or having effect, immediately before the effective date to which the Corporation may have been a party or beneficiary shall be deemed to have been made by the Company and shall remain in force for all intents and purposes.

(2) All proceedings by or against or relating to the Corporation pending on the effective date before any court, tribunal, arbitrator or any other authority shall be continued prosecuted defended, enforced and executed by or against the Company in the same manner and to the same extent as might have been continued, prosecuted, defended enforced and executed by or against the Corporation.

9. Guarantee of policies by the Federal Government.—(1) Notwithstanding the repeal of the Life Insurance (Nationalization) Order, 1972 (President's Order No. 10 of 1972) under section 16, all sums assured under article 35 of the repealed Order and policies already issued by the Corporation including any bonuses declared in respect thereof shall remain in force upon transfer of the policies to the Company and the guarantee as to payment in cash by the Federal Government shall remain in force till their entire term in accordance with the terms and conditions applicable to these policies, contracts etc., whatever the case may be prior to the effective date.

(2) The Company shall not issue any policy under which the amounts assured are guaranteed as to payment in cash by the Federal Government after effective date.

10. Utilization of surplus.—(1) Notwithstanding the repeal of the Life Insurance (Nationalization) Order, 1972 (President's Order No. 10 of 1972), any surplus which emerges as a result of any investigation undertaken by Company in respect of policies already issued prior to effective date in accordance with article 29 of the Life Insurance (Nationalization) Order, 1972 (President's Order No. 10 of 1972) shall continue to be allocated or reserved for in accordance with the article 31 of the said Order in accordance with the terms and conditions of these policies, contracts etc., whatever the case may be.

11. Bar of jurisdiction.—(1) No Court except as specifically provided under this Ordinance, including the Supreme Court and a High Court, tribunal, arbitrator or authority shall call in question or permit to be called in question, any transfer or vesting order made, anything done or action taken or purported to be Made done or taken under this Ordinance.

(2) No Court, shall grant any injunction or make any order, nor shall any Court entertain any proceedings, in relation to anything done or intended to be done under this Ordinance.

12. **Indemnity.**—No suit, prosecution or other legal proceedings shall lie against the Federal Government, the Corporation or the Company or any other person for anything which is in good faith done or intended to be done under this Ordinance or any rule or order made thereunder.

13. **Act to override other laws, etc.**—The provisions of this Ordinance shall have effect notwithstanding anything contrary contained in any other law for the time being in force or in any agreement, contract, policy, decree, order or any other instrument whatsoever.

14. **Power to make rules.**—The Federal Government may by notification in the official Gazette, make rules for carrying out the purposes of this Ordinance.

15. **Removal or difficulty.**—If any difficulty arises in giving effect to any provision of this Ordinance, the Federal Government may make such order, not inconsistent with the provisions of this Ordinance, as may appear to it to be necessary, for the purpose of removing the difficulty:

Provided that no such power shall be exercised after the expiry of two years from the commencement of this Ordinance.

16. **Repeal and savings.**—(1) Immediately after the dissolution of the Corporation in pursuance of clause (c) of sub-section (2) of section 5, the Life Insurance (Nationalization) Order, 1972 (President's Order No. 10 of 1972) shall stand repealed.

(2) Notwithstanding the repeal under sub-section (1), any notification, rule, regulation, by-law, administrative or other order made or granted under the repealed Order prior to the commencement of this Ordinance shall continue in force until repealed, altered or changed by the Federal Government or the Company, as the case may be.

17. **Validation of actions, etc.**—(1) Anything done, actions taken, orders passed instruments made, notifications issued, agreements made, policies issued, proceedings initiated, processes or communication issued, powers conferred assumed or exercised, by the Corporation or the Federal Government and their officers before the commencement of this Ordinance and the actions of the Federal Government and its officers till the issuance of the vesting order, shall be deemed to have been validly done, made, issued, taken, initiated, conferred, assumed, and exercised and provisions of this Ordinance shall have, and shall be deemed always to have had, effect accordingly.

(2) All contracts, agreement, power of attorneys and all other instruments executed by the Corporation before the effective date shall be deemed to have been issued, executed or entered into by the Company.

(3) On and after the effective date, any reference to the Corporation in any other law or notifications issued by the Federal Government, except where the context otherwise requires, be construed as reference to the Company.

MAMNOON HUSSAIN,
President.

JUSTICE (R)
MUHAMMAD RAZA KHAN,
Secretary.